

US Bond Market **Weekly Update**

10yr Treasury 4.95% ▲ 16 bps MTD	2yr Treasury 4.56% ▲ 17 bps MTD	IG OAS 80 bps ▼ 1 bps MTD	HY OAS 270 bps ▲ 5 bps MTD
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WORD ON THE DESK

Fixed income markets endured a turbulent week as the confluence of geopolitical shock, energy-driven inflation fears, and a relentless global bond sell-off pushed yields toward psychologically significant levels not seen in years. The U.S. strikes on Iran early in the month lit the fuse on an oil price surge that reframed the inflation narrative heading into the September CPI print, complicating the Fed's path and pressuring duration assets across the board. Credit spreads told a bifurcated story — investment grade continued to grind tighter on a month-to-date basis even as total returns suffered under the weight of rising base rates, while high yield began to reflect risk-off sentiment more candidly. With the 10-year approaching 5% and global sovereign yields hitting multi-decade highs in tandem, portfolio managers face a challenging backdrop: duration is a headwind, carry is increasingly attractive in short maturities, and geopolitical tail risk remains underpriced. The Friday CPI release and its aftermath will be the critical near-term catalyst to watch.

MARKET COMMENTARY

01 The dominant macro shock of the period originated from U.S. military strikes on Iran on September 1, triggering an oil price surge that materially intensified inflation expectations and accelerated the global bond sell-off. The 10-year Treasury yield approached 5% in the days that followed, and the CPI print due September 11 arrived in an already highly charged market environment where internal momentum and energy price pass-through had become primary drivers of yield direction, reducing — but not eliminating — the marginal information content of the release itself.

→ The geopolitical premium now embedded in energy prices represents a persistent upside risk to headline CPI, keeping the Fed's optionality constrained and any near-term pivot narrative fragile.

→ The September 11 CPI event date coincides with the week_ending date, meaning end-of-week positioning likely reflected residual uncertainty around the print's full market absorption.

02 The global bond sell-off that erupted the week of September 1-2 was notable not just for its domestic severity but for its synchronization across sovereign markets: U.S. 10-year yields approached 5%, Japan's 10-year crossed 3% for the first time in roughly 30 years, and German and British borrowing costs hit multi-decade highs simultaneously. This coordinated repricing signals a structural reassessment of global neutral rates rather than a purely idiosyncratic U.S. event, with oil-driven inflation fears and fiscal concerns amplifying term premium across the curve.

→ The synchronous nature of the sell-off limits the diversification benefit of global duration allocations and raises the bar for mean-reversion trades in long-end Treasuries.

→ Japan's breach of 3% is particularly significant given the Bank of Japan's ongoing policy normalization and the potential for continued unwinding of yen-funded carry trades, which could apply further upward pressure on global long rates.

03 U.S. Treasury yields moved sharply higher across the curve on a month-to-date basis, with the 2-year yield rising from 4.39% to 4.56% [DATA: as of 2026-09-10], the 10-year moving from 4.79% to 4.95% [DATA: as of 2026-09-10],

and the 30-year climbing from 5.27% to 5.37% [DATA: as of 2026-09-10]. The 2s10s spread widened modestly to 39 basis points (4.95% minus 4.56%), and the 2s30s spread stands at 81 basis points, reflecting a steepening bias as long-end term premium continues to build.

→ Year-over-year, the 10-year yield is 94 basis points above its September 2025 level of 4.01%, and the 30-year is 72 basis points above 4.65%, underscoring how profoundly the rate environment has shifted over the past twelve months.

→ The 20-year yield at 5.39% [DATA: as of 2026-09-10] sits above the 30-year at 5.37%, a persistent inversion in that segment that may create relative value opportunities for investors willing to extend into the long bond.

04 Investment-grade corporate credit showed resilient spread performance on a month-to-date basis, with the Bloomberg IG OAS tightening 1 basis point to 80 bps [DATA: as of 2026-09-10], even as rising Treasury yields drove total returns to -0.69% MTD [DATA: as of 2026-09-10]. The disconnect between tight spreads and negative total returns underscores the duration tax being levied on high-quality credit portfolios in the current environment, and highlights why excess return — not total return — is the more informative performance metric in this phase of the cycle.

→ IG supply technicals have historically been a September headwind given heavy post-Labor Day issuance, and elevated all-in yields near multi-year highs should continue to attract robust new issue demand, keeping spreads anchored even as rate volatility persists.

→ At 80 bps OAS, IG credit offers little cushion against a spread-widening scenario driven by a deteriorating growth outlook; positioning in shorter-duration IG or higher-quality crossover names appears prudent.

05 High-yield credit displayed early signs of risk appetite erosion, with the HY OAS widening 5 basis points month-to-date to 270 bps [DATA: as of 2026-09-10], and MTD total returns of -0.47% [DATA: as of 2026-09-10] reflecting a combination of modest spread weakness and rate headwinds. While 270 bps remains historically tight, the directional move higher in spreads — in contrast to IG's modest tightening — suggests credit differentiation is beginning to emerge as geopolitical and inflation risks mount.

→ Oil-price-sensitive high-yield issuers in energy and transportation sectors face a complex backdrop: higher commodity prices can boost revenue for producers while simultaneously raising input costs for consumer-facing issuers, creating meaningful dispersion within the HY index.

→ A sustained move toward 300 bps or beyond in HY OAS would begin to signal more meaningful risk-off rotation; current levels leave limited room for error given the macro uncertainty.

06 Agency MBS and broader securitized credit faced compounding headwinds from sharply higher Treasury yields and elevated rate volatility, both of which pressure mortgage valuations through extension risk and reduced prepayment optionality. While the data payload does not include explicit MBS OAS or excess return figures, the surge in 5- and 10-year yields — up 20 and 16 basis points month-to-date to 4.75% and 4.95% respectively [DATA: as of 2026-09-10] — implies meaningful negative price pressure on current-coupon MBS and widening effective durations across the sector.

→ With mortgage rates likely well above 7% given the current Treasury curve, prepayment speeds are expected to remain depressed, locking in extension and reducing the carry advantage of MBS relative to similarly rated corporates.

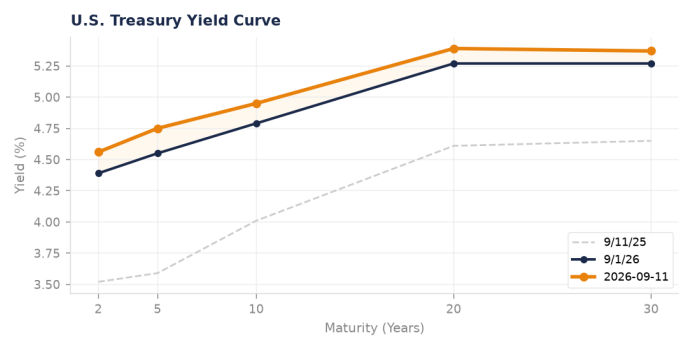
→ Investors with overweight MBS positions relative to benchmark may find value in trimming duration exposure here and rotating into shorter-dated investment-grade credit where carry is more predictable.

07 No Fed officials were on the public speaking calendar this week per the data payload, leaving the market to interpret monetary policy signals entirely through the lens of incoming data, geopolitical developments, and Treasury market price action. The absence of Fed communication in a week characterized by oil-shock-driven inflation fears and a 10-year yield approaching 5% is itself notable — the lack of pushback or guidance from policymakers may have contributed to the vacuum that allowed the rate sell-off to accelerate.

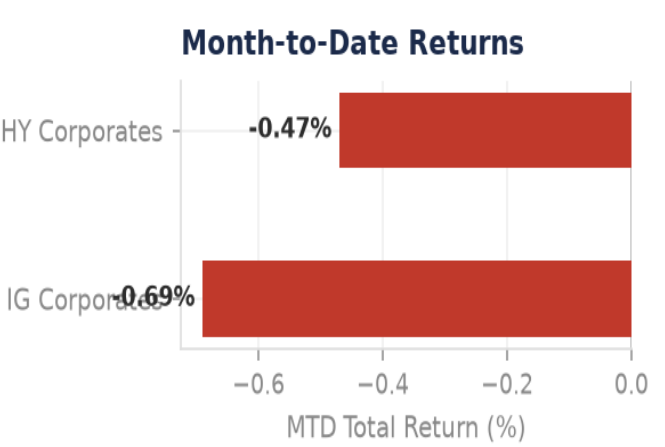
→ The September FOMC meeting will be a critical reset point; incoming CPI data and the persistence of elevated energy prices will heavily influence whether the Committee signals a hold, a hike, or opens the door to discussion of eventual easing.

→ Markets should watch for Fed speakers in the days following the September 11 CPI print, as any coordinated communication effort to anchor expectations could represent the next major inflection point for rates.

MARKET DATA



	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.56	4.75	4.95	5.39	5.37
MTD (bps)	+17	+20	+16	+12	+10



Sector	OAS (bps)	MTD Chg
IG Corporate	80	-1
HY Corporate	270	+5

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.56%	2026-09-10	FRED:DGS2
5yr Treasury	4.75%	2026-09-10	FRED:DGS5
10yr Treasury	4.95%	2026-09-10	FRED:DGS10
20yr Treasury	5.39%	2026-09-10	FRED:DGS20
30yr Treasury	5.37%	2026-09-10	FRED:DGS30
IG OAS	80.0 bps	2026-09-10	FRED:BAMLC0A0CM
HY OAS	270.0 bps	2026-09-10	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	-0.69%	2026-09-10	FRED:BAMLC0A0CMTRIV
HY Corporates MTD Return	-0.47%	2026-09-10	FRED:BAMLHYH0A0HYM2TRIV